



Qualification Programme Examination Panelist's Report

Module 10 – Business and Company Law (December 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Written Questions

General Comments

The paper was three hours in duration and consisted of six questions. The marks allocation among the nine major topics of this examination paper was as follows:

1.	Company Law	30%
2.	Law for Public Companies	10%
3.	The Hong Kong Legal System and Regulatory Authorities	5%
4.	Law of Tort and Negligence	15%
5.	Law of Contract	15%
6.	Law of Consumer Protection	10%
7.	Law of Employment	5%
8.	Law of Prevention of Bribery & Corruption and Anti-Money Laundering	5%
9.	Law of Agency	5%

This paper was set on the syllabus prescribed by HKICPA, which covers the important business and company law topics.

Candidates performed well on questions that were set on popular topics. This can be seen in Question 5, which was about agency, employment, and anti-corruption laws. Candidates also did well in straightforward questions such as Question 6, which was about the role of the Hong Kong Stock Exchange and the Main Board listing requirements.

Some questions required candidates to demonstrate their analytical skills by applying legal principles to case scenario with reference to case law and/ or legislation. Stronger candidates were able to demonstrate the analytical skills required for these questions whereas some weaker candidates did not perform very well in these questions. More details can be found from Questions 1(b) and (c) as well as Questions 4(b) and (c).



Specific Comments

Question 1(a) – 5 Marks

This question required candidates to discuss the discharge of contracts. Many candidates were able to correctly identify the four ways of discharge of contracts. Some stronger candidates explained all of the four ways in detail, while weaker ones briefly mentioned all four or just one or two of them. Some candidates had difficulty in understanding the concept of discharge of contract and discussed contractual terms, vitiating factors, elements of a valid contract, or even negligence, which was not required in the question.

Question 1(b)(i) – 3 Marks

This question required candidates to discuss the breach of contract. Some stronger candidates discussed the breach of different types of contractual terms in detail, while weaker ones mentioned that Amy and/ or Betty had breached the contract but failed to identify which type of contractual term was breached.

Question 1(b)(ii) – 3 Marks

This question required candidates to discuss the remedies for breach of contract. Only stronger candidates identified all or some of the remedies for breach of contract with sufficient explanation.

Question 1(c) – 4 Marks

This question required candidates to discuss the discharge of contract by frustration and its consequences. While many candidates correctly identified and discussed the issue of frustration, only stronger candidates supported their analysis with relevant case law.

Question 2 – 10 Marks

This question required candidates to discuss the passing of risk and property in goods on the basis of the statutory rules under section 20 of the Sale of Goods Ordinance (Cap.26) ("SOGO"). Candidates performed well in this question. Many candidates correctly identified the issue of whether the goods are unascertained or not and applied the statutory rules under section 20 of the SOGO. The weaker candidates either discussed irrelevant issues (e.g. rules retention of title clauses), or wrote nothing at all.

Question 3(a) – 10 Marks

This question required candidates to discuss the issue of negligence and vicarious liability. The overall performance of the candidates in this question was reasonably good. Stronger candidates were able to identify and discuss the elements of negligence and supported their answers with the relevant case law. Candidates could also discussed the issue of vicarious liability, and some candidates misidentified the issue as negligent misstatement or occupier's liability.



Question 3(b) – 5 Marks

This question required candidates to discuss the defences against negligence and vicarious liability. Many candidates were able to identify and discuss the issue of contributory negligence. Weaker candidates failed to identify the issue or appeared confused about the concept of contributory negligence and misidentified the issue as *volenti non fit injuria*, i.e. voluntary assumption of risk.

Question 4(a) – 10 Marks

This question required candidates to discuss the role and duties of a shadow director. Many candidates were able to identify both issues of *de facto* director and shadow director. Some only identified either *de facto* or shadow director.

Question 4(b) – 15 Marks

This question required candidates to discuss various issues including (a) the validity of an objects clause in the articles of association, (b) the common law *ultra vires* rule, (c) the act of directors exceeding their authority and the objects clause, (d) the indoor management rule under common law, and section 117 of the Companies Ordinance (Cap.622). Most of the candidates did not perform well in this question. Many were only able to identify all the issues and discussed only some of them, such as the capacity of a company, the protection of persons dealing with companies. Some discussed completely irrelevant issues such as breach of contract and misrepresentation.

Question 4(c) – 5 Marks

This question required candidates to discuss the issue of the validity of the contract if the third party had acted in bad faith and knew about the limitation in the articles of association of the company concerned before signing the contract.

As this question is related to Question 4(b), those candidates, who were unable to answer Question 4(b) properly, did not perform well in this question either. Those who could identify some of the issues in Question 4(b) correctly were able to perform well in this question. It was also noted that some did not write anything at all, which reveals their lack of knowledge on this topic.

Question 5(a) – 5 Marks

This question required candidates to discuss the issue of the creation of various types of agency and the application of agency law to the scenario in the question. Most candidates did well in this question. This question was set on a popular topic. Most candidates performed well in this question probably because of the availability of past examination papers. Weaker candidates were not able to discuss all types of agency or discussed something irrelevant, e.g. the Partnership Ordinance.



Question 5(b) – 5 Marks

This question required candidates to discuss the issue of whether a person is an employee or independent contractor under employment law. Most candidates performed well in this question, most likely due to the availability of past examination papers. Weaker candidates were not able to discuss the different tests for distinguishing an employee from an independent contractor in detail. Some either discussed something completely irrelevant, e.g. summary dismissal, or did not write anything at all.

Question 5(c) – 5 Marks

This question required candidates to discuss bribery offences under anti-corruption laws. This question was set on a popular topic. Most candidates performed well in this question, most likely due to the availability of past examination papers. Weaker candidates did not discuss the relevant sections of the Prevention of Bribery Ordinance (Cap.201). Some either discussed the wrong section or did not write anything at all.

Question 6(a) – 5 Marks

This question required candidates to discuss the role of the Hong Kong Stock Exchange. Most candidates performed very well in this question. A few candidates only briefly mentioned the listing or the regulatory role of the Hong Kong Stock Exchange.

Question 6(b) – 10 Marks

This question required candidates to discuss the Main Board listing requirements. Most candidates discussed the listing requirements in detail and received a very high score in this question. A few candidates, however, only briefly mentioned only one of the financial requirements (e.g. the profits test) without discussing other requirements. Some discussed irrelevant topics, e.g. how to convert a private company into a public company, or corporate governance of listed companies.



(III) Conclusion and Recommendation

Overall, candidates performed well in straightforward questions such as Question 6, which focused on the role of the Hong Kong Stock Exchange and Main Board listing requirements. They also did well in questions set on popular topics such as agency, and anti-corruption laws. However, it appears that candidates have not revised the less popular topics in depth. The examination paper aims to cover all topics to test the candidates' ability to apply their legal knowledge in specific situations. As a result, candidates are advised to study a wider range of topics than just the popular ones.

Some candidates were weak in identifying the legal issues of the question. Candidates chose to write what they knew about the topic and failed to identify and discuss the issues of the question. For example, some candidates did not understand what discharge of contract means and discussed contractual terms, vitiating factors, elements of a valid contract, or even negligence in Question 1(a) instead.

As most of the topics in the syllabus, such as contract law, tort law, and company law, are governed by case law as well as legislation, candidates are advised to study and apply both case law and legislation in answering questions.

Last but not least, some candidates wrote nothing at all in some questions which may be attributed by their lack of knowledge or lack of time. Therefore, candidates are advised to read all the questions carefully and manage their time wisely before they start answering any questions.